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Comparision of Business, Profession and Employment

Business	Profession	Employment
1. Mode of Establishment: Promoter's decision registration and other formalities as prescribed by law	Membership of a professional body or certificate of practice	Service contract or letter of appointment
2. Nature of Work: Goods and services provided to the public	Personalized service of expert nature	Performing work assigned by the employer
3. Qualifications: No minimum qualification is essential	Education and training in specialized field	Minimum qualification is essential
4. Basic Motive: Earning profits by satisfying needs of society	Rendering service	Earning wages or salary by serving the employer
5. Capital: Capital investment required as per size of the firm	Limited capital necessary for establishment	No capital required
6. Reward: Profits	Professional fee	Salary or wages
7. Risk: Profits are uncertain and irregular	Fee is regular and certain, never negative	Fixed and regular pay, no risk
8. Transfer of Interest: Transfer possible with some formalities	Not possible	Not transferable
9. Code of Ethics: No specific code of conduct, moral and ethical dealings only	Professional code of ethics	Rules and regulations of the employing organization

and machinery. Services refer to activities like supply of electricity, gas or water, transportation, banking, insurance etc.

iv. Regularity of Dealings

An isolated dealing in buying and selling does not constitute business. The transactions must be regular. For example, if a person buys a scooter for his use and later on disposes it of at a profit, he cannot be said to have been engaged in business. The buying and selling must be recurrent to constitute business.

v. Profit Motive

An important feature of business is profit motive. Business is an economic activity by which human beings make their living. It is, in fact, the attraction of profit which spurs people to do business.

vi. Element of Risk

The profit that is expected in a business is always uncertain because it depends upon a number of factors beyond the control of the businessman. For example, change in consumer preference, shortage of raw materials, transport bottlenecks, power-crisis etc., may upset business calculations and result in loss. That is why profit is said to be reward for risk-taking. Thus any business activity includes an element of risk too.

2.04 Objectives of Business

Every business enterprise has certain objectives which regulate and generate